FreshWay Board archive — C09 · The 2024 automation project that was stopped

The most useful card in this archive. Any department proposing automation is expected to say why their proposal will not end the same way. If you have not read this, the Board will ask whether you have.

What was bought

Project FreshFlow: automated picking of chilled goods at RDC Noord in Zwolle. A shuttle buffer for chilled cases with six goods-to-person pick stations, twelve autonomous mobile robots to take roll cages to the docks, and the vendor's own control software. Approved by the Board in March 2023 with a budget of €12.5 mln over 2023-2025.

What it was supposed to deliver	Before	Promised
Pick rate, chilled	~400 cases/hour	~650 cases/hour
Staff at RDC Noord	~140 FTE	38 FTE fewer
Pick errors	0.30% of lines	0.10% of lines
Payback and IRR		7.2 years · 13.1% against a hurdle of 12%

What it cost

€4.9 mln was spent before the stop: equipment and deposits €3.1 mln · integration €1.0 mln · project team and advisers €0.8 mln. €1.3 mln was recovered (the twelve robots joined the AGV fleet in the CDC, the racking was reused). €3.6 mln was written off.

Why it was stopped

Board decision of 18 June 2024, for four reasons.

1. The saving did not survive December. The system was sized on an average day of ~70,000 cases. In the peak, manual picking would have had to run alongside it, so the 38 FTE could not go. Recalculated, the IRR fell to 8%.

2. The interface was priced after the purchase order. The vendor's control software is closed, like the WCS in the CDC; connecting it to the WMS was quoted at €1.1 mln and nine months.
3. Power. The system and its extra cooling needed about 0.2 MW, against roughly 0.25 MVA of headroom at RDC Noord. The grid operator quoted two to three years for a heavier connection.
4. The building had to keep running. The buffer took 1,800 m² of the 7,000 m² chilled area during a fourteen-month build, and the temporary refrigerated trailers on the yard were not in the budget.

What the Board's evaluation says was learned

- Say on which volume the saving is calculated, the average or the peak, and show the other one.
- Agree and price the interface before the order is signed.
- Check power, space and cooling with Storage before the business case is written.
- Plan how the operation runs during the build, and put that in the budget.

What the project did not show is that automating chilled picking cannot pay back at FreshWay. The Board stopped this project, not the idea.

> **Board archive card. Released only in answer to an Information Request.** Do not forward this card to another department; if they need it, they file their own request. Every request and every answer is recorded in the Board Decision Log.

> **GenAI transparency.** This card was written with Claude (Anthropic) by the course team, based on the FreshWay case design and a source-checked figure sheet. Figures that are not in the figure sheet were made up with the model to fit the case, and checked by the course team against the figure sheet and the datasets. Human-AI Agency Label: **Co-Creator**. Label source: Boetje, J., & Baake, G. (2026). *Nine prototypical human-AI agency patterns* [Figure]. figshare. https://doi.org/10.6084/m9.figshare.31706884 (CC BY 4.0).

Levering · gerenderd uit `Board card C09 — The 2024 automation project that was stopped.md` · 2026-10-02